

PAID-UP OIL AND GAS LEASE

Effective Date: April 1, 2024

Lessor: Powder River Grazing Association

Lessee: Powder River Resources, LLC

County: Campbell, Wyoming

Recitals

Lessor owns an interest in the oil, gas, and other minerals underlying the lands described herein and desires to lease the same to Lessee for development.

Leased Lands

Township 49 North, Range 71 West, 6th P.M., Section 5: Lots 3 and 4, S/2 NW/4, containing approximately 158.40 net mineral acres in Campbell County, Wyoming.

This lease also covers and includes all land owned or claimed by Lessor adjacent or contiguous to the land particularly described above, whether the same be in said survey or in adjacent surveys, although not included within the boundaries above (the "Mother Hubbard" clause).

Consideration and Bonus

Lessee has paid Lessor \$350.00 per net mineral acre as a paid-up bonus, the receipt of which is acknowledged, covering the full primary term with no delay rentals due.

Term

Primary term of five (5) years, and so long thereafter as operations or production continue on the leased lands or lands pooled therewith.

Royalty

one-sixth (1/6) of production, delivered or paid free of the costs of exploration, drilling, and production.

Continuous Development

A continuous-development clause requires Lessee to commence a new well within 180 days of completion of the prior well to hold acreage outside a producing unit; this lease covers all depths.

Force Majeure

When operations or production are prevented or delayed by force majeure -- including acts of God, war, governmental regulation or delay in issuing permits, inability to obtain materials, or lack of available market or transportation -- this lease shall not terminate, the time of such delay shall not be counted against Lessee, and the lease shall be extended for so long as operations are so prevented or delayed.

Pugh Clause

Pugh Clause: Upon expiration of the primary term, this lease shall terminate as to all lands and all depths not then included within a producing or pooled unit, unless Lessee is then conducting continuous operations as provided herein.

Execution

Executed by Powder River Grazing Association (Lessor) and Powder River Resources, LLC (Lessee) effective April 1, 2024.

STATE OF WYOMING
COUNTY OF CAMPBELL

This instrument was acknowledged before me on the date written above by Powder River Grazing Association.

Notary Public

My commission expires: _____